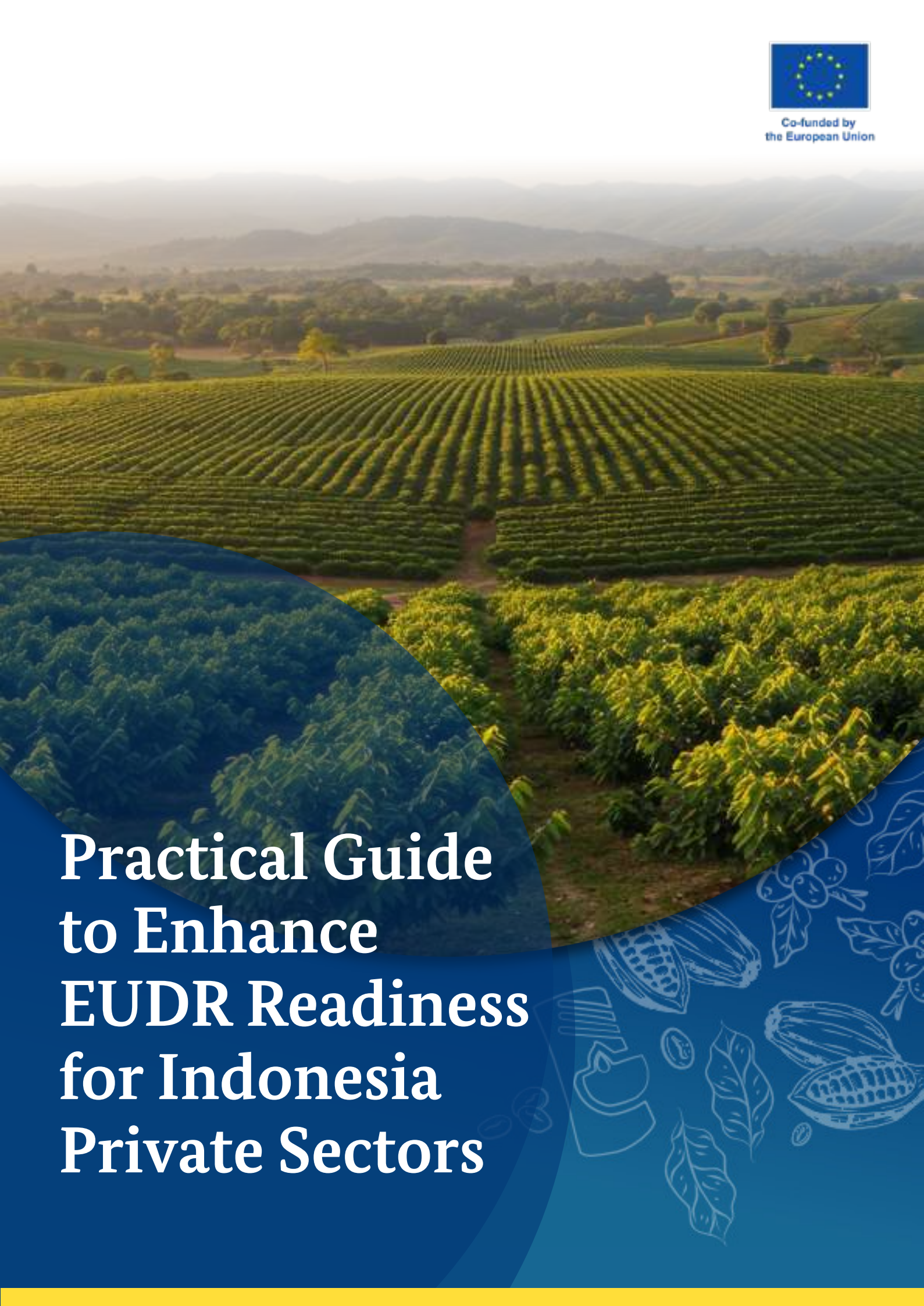




Co-funded by
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The background of the cover is a photograph of a vast vineyard with rows of grapevines stretching across rolling hills. In the distance, there are misty mountains. A large, semi-transparent blue circle is overlaid on the lower-left portion of the image, containing the title text. The bottom right corner of the cover features a blue background with white line-art illustrations of various agricultural products, including corn cobs, leaves, and beans.

Practical Guide to Enhance EUDR Readiness for Indonesia Private Sectors

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DISCLAIMER

This publication is jointly funded by the European Union and German Federal Ministry for Economic Cooperation and Development (BMZ) and conducted by Koltiva. The content of this publication is Koltiva's sole responsibility and does not necessarily reflect the views of the EU or BMZ. The information in this study, or on which this research is based, has been obtained from sources that the authors believe are reliable and accurate.

This document has been developed based on the analysis of a variety of relevant sources, including but not limited to the legal text on the EUDR, EUDR Guidance, EUDR FAQ, as well as the results of previously conducted focus group discussions (FGDs) and other events organized by the EUDR Engagement project and other stakeholders EU-funded projects (e.g., KAMI, SAFE). It also refers to other knowledge products that are publicly available and relevant. This document reflects the most current information at the time of writing, which does not yet include the European Commission's proposal of 21 October 2025 for targeted simplification measures, which are being negotiated between the European Parliament and the Council of the European Union.

The purpose of this document is to provide stakeholders with practical steps to prepare for EU Deforestation Regulation (EUDR) implementation. It is intended to be a one-time resource and does not include provisions for future updates.

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Introduction

Purpose of the Practical Guide

This guide is designed to support Indonesian private sector actors who are not directly bound by EUDR obligations, ranging from large-scale manufacturers and processors to small cooperatives and aggregators in responding to their clients' requests. By clearly outlining the key EUDR requirements, this practical guide provides step-by-step guidance to help companies prepare for its implementation and meeting their buyers' requests while promoting deforestation-free and legally compliant commodity production.

Key Objectives



Introduce the EUDR's main provisions and how they impact Indonesian **cocoa, coffee, and rubber** supply chains.



Offer a clear framework of best practices and practical tools to help companies prepare for EUDR application and maintain market access to the EU.



Support supply chain actors in better understanding land legality, geolocation data, and risk mitigation measures.

How to Use

01. Flexible Approach

Each chapter can be read independently or used as a reference guide. It is suitable for large-scale manufacturers and processors, and some points may also apply to small cooperatives and aggregators.

02. Practical Tools & Tips

Look for highlight boxes offering important notes, references to checklists, and suggested templates in the annex.

03. Adapt As Needed

Since EUDR compliance may evolve over time, readers should treat this guide as a living document—adapting the recommended processes to their specific operational context.





Introduction to EUDR for the Private Sector

What is the EUDR?

Why EUDR Matters for Global Companies

Role of Certification Schemes under the EUDR

What is the EUDR?

The EUDR (EU Regulation on Deforestation-free Products) formally established as Regulation (EU) 2023/1115, is a mandatory regulation aimed at reducing the EU's contribution to global deforestation and forest degradation¹. Adopted on 31 May 2023, the EUDR marks a significant step in aligning trade practices with the EU's broader commitments to climate change mitigation, biodiversity preservation, and sustainable development.

This regulation officially came into force on 29 June 2023 and is set to become fully applicable from 30 December 2025 (or 30 June 2026 for Small and Medium Enterprises/SMEs), providing businesses with a transitional period to adapt to their requirements². Please note that only SMEs that place goods on the EU market, whether or not they are “in” the EU.

The EUDR applies to 7 commodities³ and certain derived products

The EUDR applies to **operators** and **traders** who place products on the EU market or export them from there.



Rubber



Cocoa



Soy



Palm Oil



Timber⁴



Coffee



Cattle

Operators defined under Article 2(15) as any natural or legal person who, during a commercial activity, places relevant products on the EU market or exports them.

Traders are defined in Article 2(17) as any person in the supply chain other than the operator who, during a commercial activity, makes relevant products available on the EU market.

1.) [The EU Deforestation-Free Products Regulation 2023/1115](#)

2.) [The Amendment 2024/3234 of the EUDR 2023/1115](#)

3.) The complete list of products within scope are available in [Annex 1](#) of the regulation

4.) For wood and wood products, the EUDR specifically includes requirements to ensure they are not linked to forest degradation (for example, the conversion of primary or naturally regenerating forests into plantations). Wood products that are accompanied by a valid FLEGT (Forest Law Enforcement, Governance and Trade) licence are considered to have fulfilled the EUDR legality requirement

Operators and traders placing products on the EU market or exporting them from there must ensure the products are:



Deforestation-Free

Produced on land that has not been deforested after 31 December 2020, and in the case of wood, also forest-degradation free.



Produced in Accordance with National Legislative Framework

Adhering to relevant national legislation of the country of production.

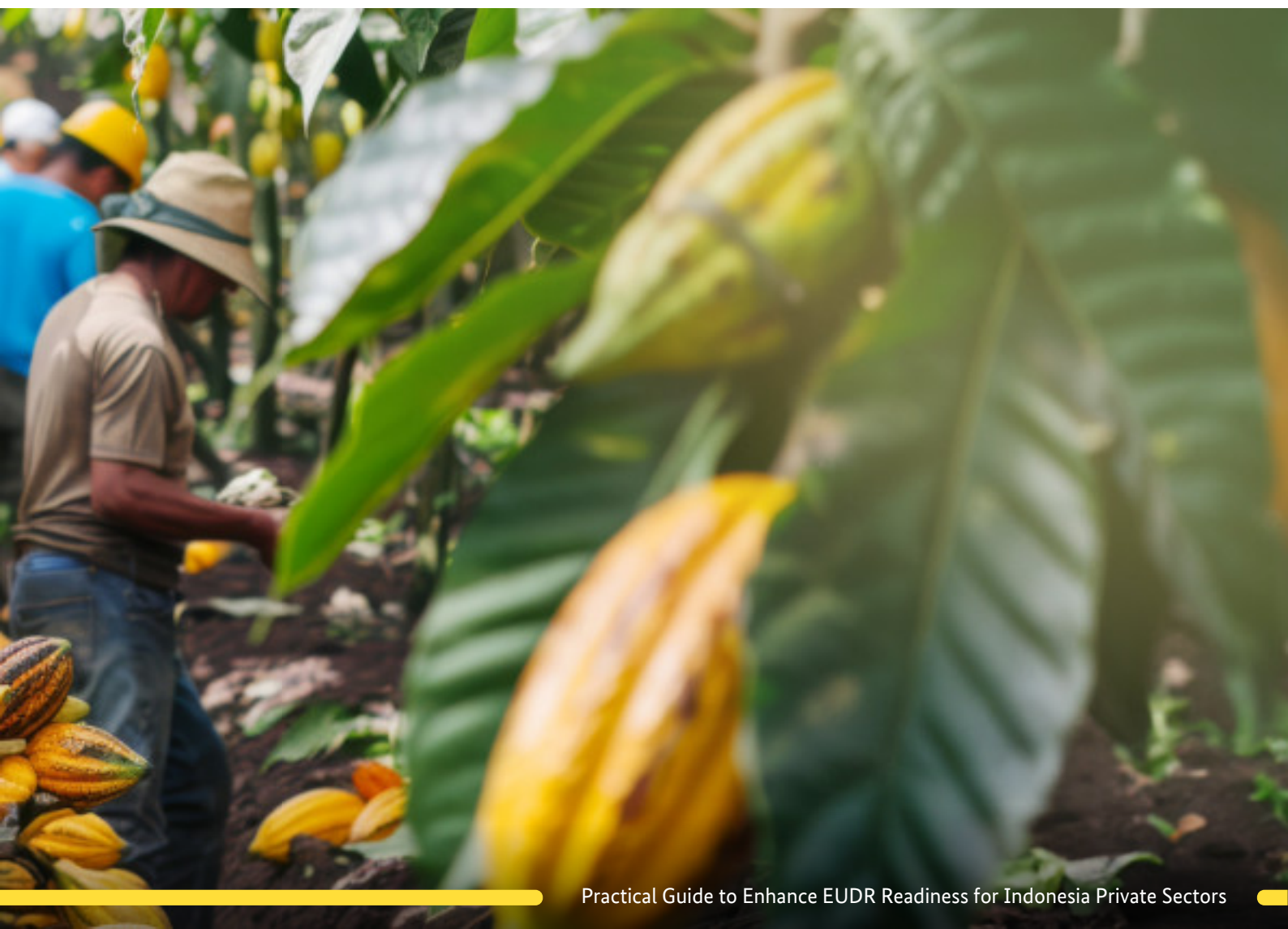


Covered by a Due Diligence Statement

Demonstrating no more than a negligible risk of non-compliance, including providing geolocation data for all plots of land.



Other actors, such as smallholders and enterprises doing business in producing countries only as well as third country government actors do not formally have any obligations under the EUDR.



Why EUDR Matters for Global Companies



A. Environmental Responsibility and Long-Term Sustainability

The EUDR supports global efforts to halt deforestation, promote responsible and legally verified sourcing, and uphold human rights. By aligning with the regulation, companies contribute to climate change mitigation and the preservation of natural resources, helping secure long-term sustainability for their supply base.



B. Market Access and Competitiveness

The EUDR sets strict requirements to ensure products entering the EU are deforestation-free and legally produced. For private companies, meeting these requirements is essential to maintain access to the EU market and remain competitive against other suppliers who can demonstrate full compliance.



C. Reputation and Brand Value

Consumers and investors are increasingly demanding sustainable and responsible sourcing. Compliance with the EUDR shows a company's commitment to environmental and social responsibility, strengthening its reputation and brand value in global markets.



D. Supply Chain Risk Management

Implementing EUDR-aligned systems helps companies identify and reduce risks related to deforestation, illegality, and human rights violations in their supply chains. This reduces the chance of future disruptions, penalties, or product rejections.



E. Opportunities for Collaboration and Innovation

By preparing for the EUDR, companies can strengthen collaboration with smallholders and suppliers through capacity building and data sharing. This creates opportunities for innovation in traceability, transparency, and sustainable production practices.

Role of Certification Schemes under the EUDR



Certification schemes such as RSPO, FSC, ISPO, and RA can be valuable tools within the due diligence process mandated by the EUDR.



Certification does not guarantee compliance with the EUDR requirements, but companies must always fulfill their due diligence obligations.



Certification or third-party verification can be integrated into the information gathering process for risk assessment and risk mitigation. However, the responsibility for ensuring compliance remains with the operator.



Certification can help demonstrate traceability, assess potential risks, and provide documented evidence of responsible sourcing.



Therefore, certification should be regarded as a complementary tool that supports, rather than replaces, the comprehensive due diligence measures required by the EUDR.

EUDR Due Diligence Process

Data Collection

Risk Assessment

Risk Mitigation

Due Diligence Statement (DDS)

The EUDR defines companies' due diligence obligations and the steps that need to be conducted. Due diligence is mandatorily carried out by operators who place the products on the EU market/export from it. The due diligence process includes four key steps.

01. Data Collection

The companies must collect relevant information about these commodities and products in accordance with Article 9, including:

-  **Basic product details**, such as name, quantity, country of production, production date or time range, supplier, and buyer information.
-  **Geolocation of all plots of land where the commodity is produced.** Plots greater than 4 hectares require a polygon (outline of the plot made with a series of GPS points), while plots less than 4 hectares require at least a single GPS point. Both are required in GeoJSON format.
-  **Verifiable evidence that the products are deforestation-free and legally produced** (not originating from land deforested after 31 December 2020) and produced in accordance with relevant national legislation.

02. Risk Assessment

According to article 10 of the regulation, based on the information collected, operators shall do a risk assessment to check if the products they intend to place on the EU market or export from there could be non-compliant with the EUDR. The risk assessment shall be done by covering certain criteria, i.e.

				
Country risk classification check	Rights of indigenous people	Deforestation and degradation risk	Governance & legal risks	Supply chain complexity
				
Regulation circumvention	Supplementary evidence	Forests presence	Substantiated concerns	FLEGT license (wood products only)

03. Risk Mitigation

When instances of non-negligible risk occur, companies must have adequate mitigation measures, policies, controls and procedures to ensure production is aligned with EUDR requirements, achieving no or negligible risk of deforestation-free and legal production. This can include:



Independent audit function to check internal policies and procedures



Requesting additional documentation or other verification surveys



Support suppliers, in particular smallholders and SME suppliers, through capacity building and investments, to meet EUDR requirements.

04. Due Diligence Statement (DDS)

Operators* placing the product on the EU market for the first time must submit a DDS via the EU Information System (TRACES). A DDS document must include the company name, HS Code, scientific name, quantity, country of production, geolocation of production plots, and a statement assuming responsibility.



(*) Operator is any natural or legal person who, in the course of a commercial activity, places relevant products on the EU market or exports them. In the case of supply chains from Indonesia, the importer into the EU market is the operator.

Regulation's Scope and Goals





Because EUDR's main legal obligations fall on operators (companies first placing regulated products on the EU market) and traders within the EU, many Indonesian businesses may not be "operators" themselves. However, in practice, EU buyers may require Indonesian suppliers to provide detailed information to support due diligence. Businesses should identify which of these categories they fall under to understand what kind of information or support they may be asked to provide in practice, even though official EUDR obligations apply only to operators and traders.

Company Type	Example	Likely Requirements
 Companies Selling Directly to the EU (Operator)	 • Cocoa Processor in Java selling directly to its EU-based affiliate company. • These businesses export their processed or raw materials directly to the EU, making them subject to EUDR obligations.	 • Submit Due Diligence Statements (DDS) to the EU per shipment. • Implement full risk assessments. • Ensure traceability to plot level. • Support suppliers in providing key information on plots of production.
 Large Indonesian Companies Supplying Exporters (Not an Operator, but potentially requested to support compliance)	 Rubber Processing Factory in Kalimantan that sources from multiple local intermediaries, processes latex into sheet rubber, and sells to an Asia-based tire manufacturers that then on-sells to the EU.	 • May be requested for basic data such as name, quantity, production date or time range. • Can help collect and provide plot geolocation data from local suppliers. • Provide information that helps buyers assess deforestation risks.
 Small Suppliers & Cooperatives Supplying Local Exporters (Not an Operator, but must support traceability)	 A coffee cooperative in Sumatra buys coffee cherries from hundreds of small farmers and sells dry beans to a larger Indonesia-based coffee roaster.	 • Provide GPS data for farms, often with support from buyers. • Provide land legality information on plots of production, often with assistance from buyers. • Avoid mixing unverified or high-risk supply with EUDR-aligned production.

EUDR Due Diligence Framework



Internal Company Governance

Supplier Engagement & Outreach

Traceability & Data Collection

Risk Assessments and Mitigation

Ongoing Monitoring & Validation

Internal Company Governance

Why it matters?

An organized internal framework guarantees that EUDR tasks are systematically addressed, reflecting your company's commitment to responsible, deforestation-free, and legal sourcing.

This proactive approach not only helps to meet regulatory requirements but also reinforces your commitment to sustainable practices in the supply chain.



01 Develop EUDR-Aligned Policies

Review and Revise Policies: Conduct a thorough assessment of your organization's current policies, including the Code of Conduct and procurement guidelines. Identify areas where updates are necessary to reflect current best practices and regulatory requirements.

Integrate Deforestation-Free Standards: Develop and incorporate clear criteria for deforestation-free sourcing directly into your procurement policies. This should include verifiable definitions of what constitutes deforestation-free materials and specify the consequences for non-compliance.

Establish Legality Requirements: Ensure that procurement guidelines mandate compliance with land tenure laws, labor regulations, and environmental legislation relevant to the regions from which you source materials. Include specific legal frameworks that govern these areas to guide suppliers in their processes.



02 Ensure Data Protection & Privacy

Implement a system to anonymize sensitive information by utilizing unique farmer ID codes in place of individual names whenever feasible. This approach helps protect the identity of individuals while enabling the necessary data collection and analysis.

Share personal data with third parties only when absolutely necessary, ensuring that such actions are fully aligned with the objectives of the EUDR. This careful consideration of information sharing helps protect the rights of individuals.

Ground all data management practices in the principles of the General Data Protection Regulation (GDPR) and some national regulations (i.e., Law No. 27 of 2022 on Personal Data Protection (PDP Law) and Government Regulation (GR) No. 71 of 2019 on the Implementation of Electronic Systems and Transactions (PSTE) Regulation), including data minimization (only collecting data that is essential for specific purposes) and purpose limitation (ensuring that data is used solely for the intended objectives).



03 Train Internal Teams

Organize engaging workshops or informative webinars focused on the following key topics:

- ☒ A comprehensive overview of the EUDR and its legal implications for compliance.
- ☒ Essential data requirements, including accurate geolocation information and the necessary legal documentation to ensure adherence to regulations.
- ☒ Identification of potential risks and detailed escalation procedures to address any compliance concerns effectively.

Additionally, incorporate this training into the onboarding process for relevant new hires to equip them with vital knowledge from the outset.



04 Create an Internal Communication Plan

Designate a specific individual to take on the responsibility of briefing staff and keeping them informed.

Prepare concise internal memos or engaging slides that clearly articulate the following:

- ☒ A thorough explanation of the EUDR, its objectives, and how it relates to environmental sustainability and responsible sourcing.
- ☒ The significance of the EUDR for your organization and the opportunities it brings with it, emphasizing enhanced reputation, sustained EU market access, and strengthened supply chain sustainability.
- ☒ The roles and responsibilities of each team within the organization, showing how their efforts collectively prepare the company for EUDR application and contribute to the overall success of the company.





05

Establish Minimum Governance Measures

Maintain and Organize Relevant

Records: Ensure meticulous upkeep of essential documents, including geolocation maps and legal land ownership records, to facilitate easy access and clarity.

Coordinate Data Collection and Communication

with Suppliers: Actively oversee the systematic gathering of data, building strong lines of communication with suppliers to enhance collaboration and streamline processes.

Serve as a Liaison with Auditors or

Authorities: Effectively represent and communicate on behalf of the organization with auditors or relevant authorities as needed, ensuring transparency and adherence to regulatory requirements.

Set Up a Grievance Mechanism: Establish a simple and accessible grievance channel (such as a confidential hotline or anonymous feedback form) to allow suppliers, workers, and community members to report potential non-compliance, land conflicts, or environmental issues safely and without fear of retaliation.



Points 2-5 could be effectively implemented within small-scale companies (small suppliers and cooperatives that support local exporters).

While these entities may not have formal obligations under the EUDR, their involvement can significantly contribute to the overall implementation of its principles and strengthen sustainability along the supply chains.



Supplier Engagement & Outreach

Why it matters?

Open and transparent communication with farmers, cooperatives, and suppliers not only strengthens data accuracy and builds trust but also ensures that everyone is aligned in supporting deforestation-free and legal production.

This collaborative approach reduces risks, enhances efficiency, and helps suppliers benefit from long-term market access opportunities with EU buyers.



01 Communicate EUDR Expectations Clearly to Suppliers

Utilize formal communication channels to explain what EU buyers may require under the EUDR, while also highlighting the benefits for suppliers, such as stronger business relationships, access to premium markets, and improved sustainability practices.

Send detailed letters or emails that thoroughly explain the requirements and implications of the EUDR, ensuring that all relevant parties are well-informed.

Provide concise one-pagers or information booklets in local languages that outline key points of the EUDR, making the information accessible and understandable for suppliers.

Where appropriate, revise supplier relationship contracts to include shared sustainability and traceability expectations, ensuring that these provisions remain practical, fair, and do not create additional barriers for suppliers.

Organize in-person or online workshops dedicated to educating suppliers about critical topics such as traceability, legal compliance, and commitments to deforestation-free practices, thus equipping them with the necessary knowledge and skills.

Additionally, ensure that open communication channels are available for suppliers to raise questions or concerns, reinforcing a collaborative approach.





02 Conduct Supplier Readiness Assessments

Develop a readiness checklist, covering:

Geolocation Capabilities: Ensure the ability to accurately provide GPS coordinates for each plot of land, facilitating precise tracking and monitoring of locations.

Legality Documentation: Compile and present legal documents that confirm land ownership or tenure rights, establishing clear and undeniable claims to the property.

Deforestation-Free Verification: Gather credible evidence demonstrating that land has been managed in a deforestation-free manner since December 31, 2020. This may include satellite imagery, third-party certifications, or written statements from relevant authorities.

Data Availability and Collection Systems: Assess the availability, accessibility, and quality of relevant data (e.g., farmer profiles, production volumes, delivery records) and evaluate existing systems or tools used to collect, store, and update this information.

Compliance Records: Maintain comprehensive records that reflect adherence to social and environmental regulations, showcasing commitment to sustainable practices and community welfare.

Conduct an assessment to identify any gaps in capacity related to the above criteria. Where necessary, offer targeted support or technical assistance aimed at enhancing compliance and improving production methods in alignment with best practices.



03 Create an External Communication Plan for Farmers and Local Collectors

Develop a comprehensive and respectful communication strategy to effectively convey the needs of the EUDR to smallholders and local aggregators.

Identify Key Messengers: Empower field officers, cooperative leaders, and extension workers as credible voices to facilitate understanding and foster trust within the community.

Utilize Clear and Culturally Relevant Language: Craft messages using straightforward, culturally sensitive language complemented by engaging visual materials such as posters and flyers, ensuring the information resonates with the local audience.

Implement Accessible Communication Methods: Organize inclusive group meetings that encourage dialogue, leverage popular platforms for timely updates, and conduct regular village visits to create personal connections and enhance community engagement.



04 Explain the Importance of Plot-Level Data

For EUDR compliance, operators must provide accurate geolocation data of farm plots used to produce regulated commodities. However, for smallholders and village collectors, this may be a new or sensitive request. To build trust and gain cooperation, it is crucial to explain why this data matters, how it will be used, and what protections are in place.

Below are several key messages (not official recommendations, only examples) that can be used in dialogues, training sessions, or communication materials:

“This information is essential for business partners to comply with European Union regulations, ensuring that your products remain eligible for export to the EU market.”

“We only require the geographical coordinates of your farming plot, ensuring that your home location and privacy are respected and remain confidential.”

“By sharing GPS data and information about your plot, you can demonstrate that your land is free from recent deforestation and your products can continue to reach international buyers, helping secure stable market access and long-term business relationships.”



Traceability & Data Collection

Why it matters?

Well-organized traceability records serve as vital proof that your product originates from sustainable sources, free from deforestation (and degradation for timber products).

This meticulous documentation not only reinforces ethical sourcing practices but also ensures continued access to lucrative EU markets.

Data collectors are usually field staff, cooperative enumerators, or company-appointed agents who visit farms and collect information (e.g., GPS coordinates, land documents, production data). These data collectors act on behalf of the company or cooperative that is implementing traceability and due diligence systems. Companies do not “own” farmers’ personal data outright, but they hold and use it under farmers’ consent for the purpose of EUDR compliance and supply chain traceability.



01

Implement Traceability Systems Using Digital Tools

Use digital tools to trace every product batch back to its origin without necessarily building a new system from scratch. Companies, especially smaller enterprises, are encouraged to leverage existing, cost-effective, or open-source solutions that can be adapted to their scale and capacity.

Use existing platforms and DPI solutions: Explore national or district-level traceability platforms, government-provided Digital Public Infrastructure (DPI), or shared industry systems to avoid duplicating efforts and reduce costs. Use free or affordable GPS and mapping apps to collect geolocation data efficiently can be considered.

Implement powerful mapping technologies:

to systematically collect, analyze, and store comprehensive land-use and geographical location data, providing an in-depth understanding of the agricultural landscape.

Blockchain Technology (optional for advanced operations):

Leverage an immutable digital ledger to securely record every transaction, enhancing traceability and ensuring accountability throughout the supply chain.

Digital Mapping Applications:

Take advantage of accessible GPS applications, to efficiently gather detailed plot data, empowering farmers with accurate information about their land.

Establish a Digital or Spreadsheet-Based Master Traceability System:

Create a centralized system that seamlessly links farmers, individual plots, and corresponding product batches, enabling transparent tracking that fosters trust and enhances operational efficiency.



02

Collect Accurate Geolocation Data

To accurately document the precise location of each production area, follow these guidelines:

- ☑ For small plots (<4 ha): Capture a single GPS point located at the center of the field. This point serves as a representative marker for the entire area.
- ☑ For larger plots (>4 ha): Collect multiple GPS points along the perimeter to delineate the field boundary. This series of points will create a polygon that accurately reflects the shape and dimensions of the plot.



03 Verify Land-Use and Data Accuracy

Ensure that the data accurately represents the current status of land use and demonstrates a deforestation-free condition.

- ✓ Utilize advanced satellite imagery tools, such as Google Earth and Global Forest Watch website and monitoring tools such as WHISP and EUFO (EU Forest Observatory), to conduct a thorough visual analysis for any signs of recent forest loss or degradation.
- ✓ Where feasible, engage third-party verification services or perform regular audits to authenticate the accuracy of plot data and land documentation, ensuring credibility and transparency in the assessment process.
- ✓ Correlate geolocation data with official land-use classifications or tenure documents, if available, to enhance the accuracy and reliability of the land-use information.



04 Maintain Basic but Robust Record-Keeping

Keep detailed purchase and sales logs that meticulously link each delivery to a specific farmer or aggregator, ensuring clarity and accountability that in line with data protection.

Implement a robust batch code system designed to accurately track the origin of every product, enhancing traceability throughout the supply chain. For instance, a typical entry might read as below sample (not official recommendations, but only an example):

📄 **Batch-002 | Farmer: Suparman | Village X | Plot #12 | Date: 5 July 2025** 📄

Guarantee complete traceability from the cultivation plot to the farmer and onwards to the buyer, meticulously documenting each stage of the transaction process to uphold transparency and trust among all parties involved.



05 Implement Product Segregation

To ensure safety and compliance throughout the supply chain, it is crucial to keep and non-compliant products separated. This separation can be achieved through physical barriers or by implementing rigorous documentation practices that enhance traceability and minimize the risk of contamination.

Implementation Strategies:

Color Coded System: Utilize vibrant, color-coded tags, bags, or bins to distinctly categorize compliant and non-compliant materials. This visual differentiation aids in quick identification and reduces the chances of mix-ups.

Clear Labeling of Documentation: Ensure that all associated documentation is marked clearly and according to this system. Labeling should be precise, indicating the compliance status and any relevant notes to provide immediate context.

Advanced Monitoring Tactics: For more sophisticated operations, establish a practice of cross-referencing delivered volumes against farm sizes to detect any anomalies. For example, if a farm measuring only one hectare supplies an unusually large volume of product, this discrepancy can serve as a red flag, prompting further investigation into potential compliance issues.



Points 2-5 could be effectively implemented within small-scale companies (small suppliers and cooperatives that support local exporters). While these entities may not have formal obligations under the EUDR, their involvement can significantly contribute to the overall implementation of its principles and strengthen sustainability along the supply chains.



Risk Assessments and Mitigation

Why it matters?

An effective risk-management process is essential, as it allows you to identify and address potential issues at an early stage. This proactive approach not only safeguards the integrity of your operations but also prevents your entire supply chain from being deemed "non-compliant." By incorporating thorough assessments and continuous monitoring, you can navigate challenges before they escalate, ensuring a smoother and more reliable supply chain.

 01 Classify Suppliers by Risk Level

Evaluate each supplier by considering key factors such as geographic location, adherence to legal standards, and their historical impact on deforestation. Utilize the following risk indicators for a comprehensive assessment:

- Proximity to High-Risk Areas:** Analyze how close the supplier is to regions known for their environmental vulnerability, such as forest frontiers and protected ecological zones.
- Deforestation History:** Investigate the supplier's past actions regarding land use and any instances of deforestation associated with their operations.
- Compliance Record:** Review any documented history of non-compliance with environmental and social regulations or the presence of insufficient documentation that raises red flags.
- Land Title Clarity:** Examine the clarity and legitimacy of land titles, along with the availability of detailed plot-level data to ensure transparency in land use.

Create a simple supplier risk matrix

Supplier	Risk Level	Reasons of Risk	Action Step
Farmer A	Low	Complete EUDR docs	Keep sourcing
Farmer B	High	Farm located in forest	Further review





02 Develop and Implement Corrective Action Plans (CAPs)

For medium- or high-risk suppliers, it is essential to develop a comprehensive Corrective Action Plan (CAP) aimed at rectifying any compliance deficiencies. Collaborate closely with the supplier to ensure a thorough approach:

Identify Missing Elements: Conduct a detailed assessment to pinpoint specific gaps, such as the absence of critical GPS data or necessary legal documentation pertaining to land ownership.

Establish a Timeline: Set a clear and structured timeline, typically ranging from 30 to 60 days, for addressing and closing these compliance gaps. If certain gaps cannot be closed within the timeline (for example, formal land title issuance that requires longer government processes), downgrade the supplier to a conditional or probationary status, document the reason for delay, and agree on interim risk mitigation steps (e.g., closer monitoring, partial sourcing suspension, or support for document processing).

Assign Responsibilities: Clearly delineate responsibilities among stakeholders, specifying who will be tasked with collecting the required data and who will be responsible for submitting documentation to ensure accountability and efficiency.

Track Progress: Implement a system for monitoring progress and set a date to revisit the status of the corrective actions after the established timeframe. This will help gauge compliance and make necessary adjustments.



03 Communicate and Collaborate with Buyers and Supplier

Please ensure that buyers are promptly informed in the following scenarios:

- ☒ When a supplier or farmer is considering expansion or is currently operating on land that is environmentally sensitive, which could have significant implications for local ecosystems.
- ☒ In the event that GPS monitoring indicates any encroachments into areas designated for environmental protection, raising concerns about potential violations of conservation efforts.
- ☒ If any issues related to land legality, environmental protection, or social responsibility are identified, highlighting the necessity for compliance and ethical practices in land use.

Additionally, it's essential to work closely with buyers on the following initiatives:

- ☒ Conducting thorough satellite verifications or on-site inspections to confirm the situation.
- ☒ Engaging in joint training sessions or implementing corrective action plans to address potential issues.
- ☒ Ensuring that documentation and templates are aligned for consistency and compliance.
- ☒ Establishing an anonymized grievance mechanism (such as a confidential phone line or suggestion box) to allow workers, farmers, or local stakeholders to safely report concerns or potential violations without fear of retaliation.



All points on risk assessment and mitigation could be effectively implemented within small-scale companies (small suppliers and cooperatives that support local exporters).

While these entities may not have formal obligations under the EUDR, their involvement can significantly contribute to the overall implementation of its principles and strengthen sustainability along the supply chains.

Ongoing Monitoring & Validation

Why it matters?

Consistent updates and thorough evaluations ensure that your records remain precise and reliable, effectively tackle emerging risks in a timely manner, and foster unwavering confidence among both buyers and regulatory authorities.



01 Establish Continuous Monitoring Systems

Utilize satellite-based systems or trusted third-party platforms to receive timely alerts regarding the risks of deforestation or alterations in land use.

Assign a dedicated team member to routinely monitor these alerts on a weekly or monthly basis, ensuring they flag any significant findings such as:



Recent forest loss in proximity to supplier plots



Indicators of fires or land clearance activities



Notable changes in land cover and vegetation patterns

In cases where areas are flagged, take prompt action by reaching out to the supplier for clarification or, when feasible, conducting on-site field verifications to assess the situation firsthand.



02 Review and Update Due Diligence Systems Regularly

Stay informed about the evolving EUDR framework and any specific regulations or enforcement policies relevant to different countries.

Sign up for industry newsletters: Engage with reputable sources that provide timely updates on policy changes and best practices.

Regularly check official channels for the latest legislation and guidance pertaining to the EUDR (e.g. from EU (The Directorate-General for Environment) DG ENV Newsletter).

Join informative webinars: Participate in online sessions hosted by experts who can offer insights into the implementation of the EUDR and its implications for your sector.

Align with organizations such as the Roundtable on Sustainable Palm Oil (RSPO), Rainforest Alliance, and GPSNR, which offer valuable resources and updates tailored to your industry.



03 Maintain and Update Supplier Records

Consistently Update Supplier Records: Establish a straightforward register, such as a spreadsheet or logbook, dedicated to tracking changes in supplier information over time. An effective log should include updates on new farm plots, any expansions in operations, or details regarding suppliers who have ceased their business with you.

When onboarding a new supplier or farmer, it's important to gather essential information such as their name, location, and contact details promptly.

Additionally, don't forget to request geolocation data immediately to ensure accurate mapping and easy accessibility of their farming sites. This organized and proactive approach will help maintain clear communication and foster strong relationships within your supply chain. In cases where areas are flagged, take prompt action by reaching out to the supplier for clarification or, when feasible, conducting on-site field verifications to assess the situation firsthand.



04 Apply Continuous Improvement Based on Feedback

Leverage buyer feedback and comprehensive audits to fine-tune your internal processes and data management systems effectively.

When a buyer identifies a gap in your data (such as missing information on farm size or inconsistencies in recorded data), respond promptly and decisively:

Revise your data collection forms by adding new fields for critical information like land tenure, polygon size, or consent dates to ensure completeness.

Enhance the format of your purchase records by establishing direct links between batch IDs and GPS coordinates, creating an integrated and interoperable traceability system.

Elevate the training of your field staff by addressing the specific challenges identified, ensuring they are equipped to handle similar situations in the future.

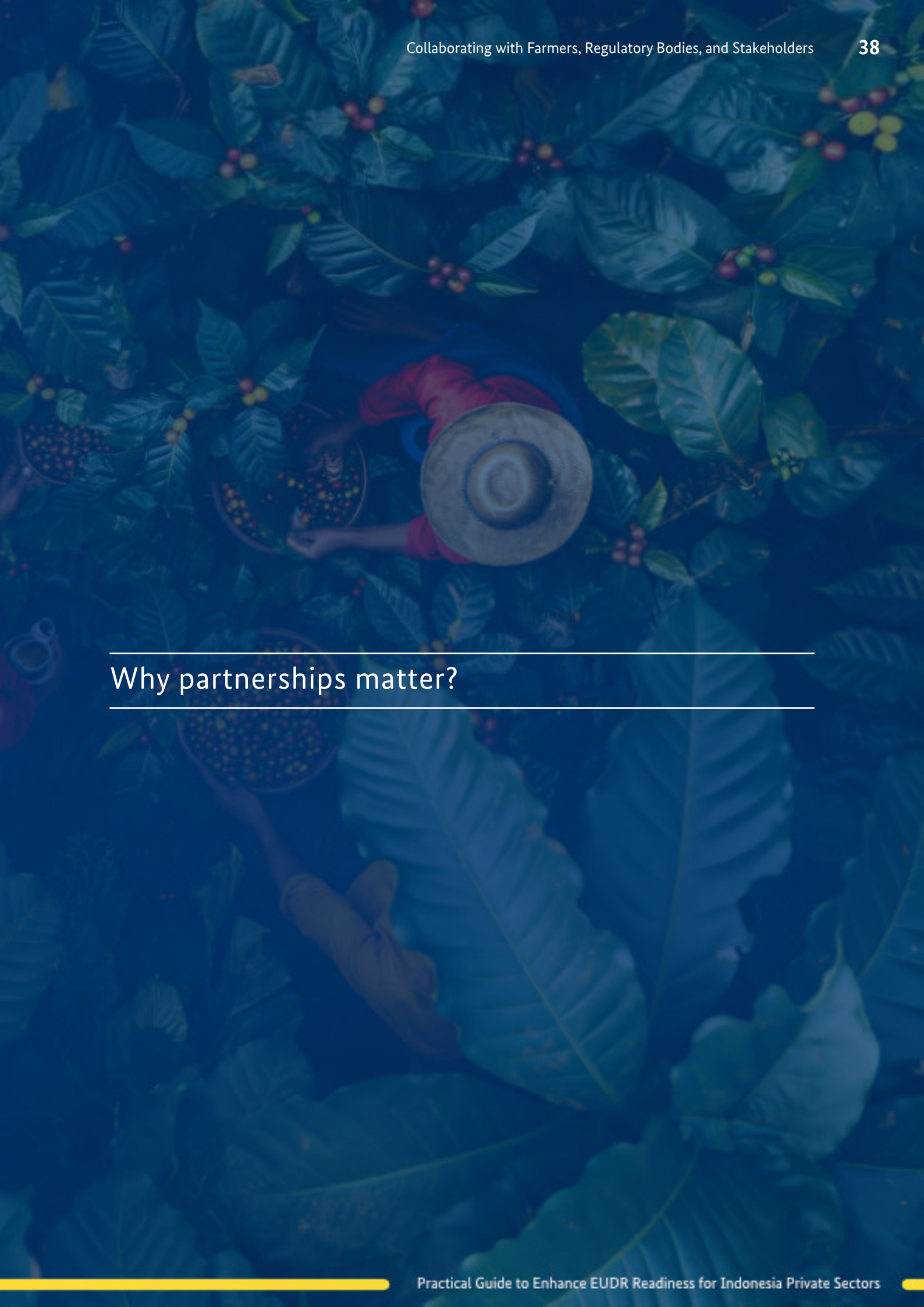
Maintain a concise "improvement log" to document each modification you've implemented, noting the date and details of the change. This will serve as a valuable reference for continuous improvement and accountability.



Points 3 and 4 could be effectively implemented within small-scale companies (small suppliers and cooperatives that support local exporters). While these entities may not have formal obligations under the EUDR, their involvement can significantly contribute to the overall implementation of its principles and strengthen sustainability along the supply chains..



Collaborating with Farmers, Regulatory Bodies, and Stakeholders



Why partnerships matter?

Ensuring EUDR compliance requires shared responsibility across the supply chain. Private sector actors, particularly exporters, processors, and traders, play a critical role in building bridges between downstream market demands and upstream realities at the farm level. Collaboration is not only encouraged; it is essential for scalable compliance

Why partnerships matter?



Smallholders

often lack access to legal clarity, digital tools, and traceability systems.



NGOs and cooperatives

can act as intermediaries for farmer engagement and training.



Government agencies

can help validate land legality, provide information on relevant regulatory framework, and support on regulatory interpretation.



Pre-competitive collaboration

with other private sector actors reduces duplication and cost.

Aggregator-led Partnership

Exporters work with cooperatives to collect farm geolocation data using GPS tools. Cooperatives support data entry; government helps verify land legality

Public-Private Working Group

Local companies and authorities form joint working groups to align data formats, conduct joint outreach, and link with national traceability systems

Buyer-Supplier Incentive Model

Traders offer long-term contracts, training, and price incentives to farmer groups in return for full traceability and legal land status

Interoperable Traceability Collaboration

Companies co-develop or share digital traceability systems to reduce farmer burden and standardize data, especially in multi-tiered supply chains like rubber



Case Studies and Best Practices

Case 1: Strengthening Geolocation Accuracy in Remote Cocoa Regions

Case 2: Reducing Product Mixing in Rubber Collection Points

Case 3: Cooperative-Based Due Diligence Monitoring

Case 4: Joint Land Verification with Local Government

These anonymized case studies highlight practical solutions, creative partnerships, and lessons learned from both successes and setbacks.



Case 1: Strengthening Geolocation Accuracy in Remote Cocoa Regions

Problem

A medium-sized cocoa exporter working in a remote region faced major challenges in meeting EUDR geolocation requirements. Most smallholder farmers lacked formal land ownership documents, and many plots were poorly mapped or undocumented. This created high risk scores in the company's EUDR risk assessment and reduced their marketability to EU buyers.

Actions Taken

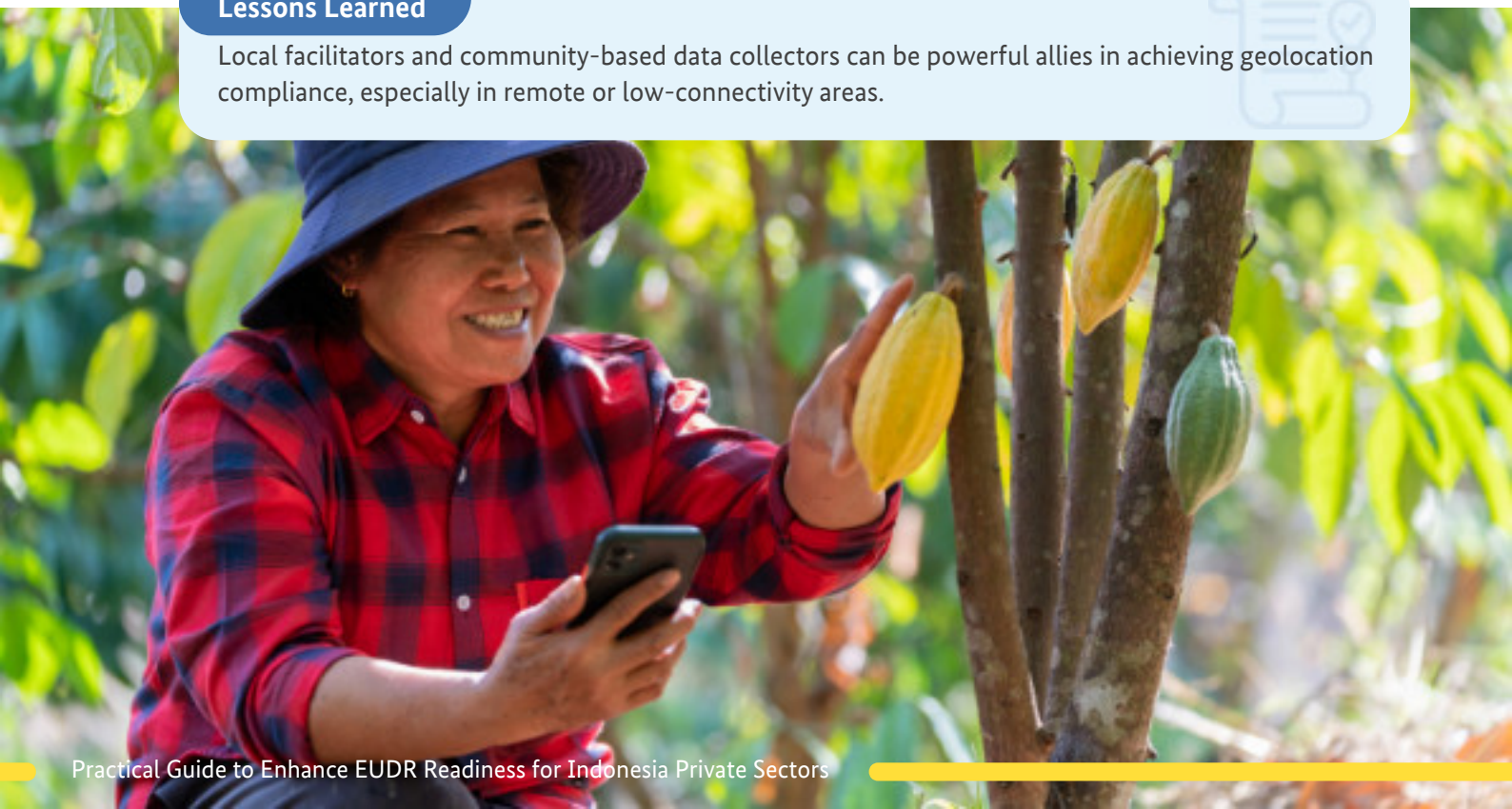
- The company trained local village facilitators to collect farm GPS points using offline mobile applications, overcoming internet connectivity issues.
- They partnered with a local NGO to cross-check submitted coordinates against national forest boundary maps and official spatial data.
- They created simple visual plot maps linked to farmer IDs and purchase records.

Results/Outcomes

- Geolocation coverage improved from less than 30% to over 80% within one season.
- The number of suppliers classified as “high-risk” dropped significantly.
- EU buyers acknowledged the improved traceability system and increased purchase volumes.

Lessons Learned

Local facilitators and community-based data collectors can be powerful allies in achieving geolocation compliance, especially in remote or low-connectivity areas.





Case 2:

Reducing Product Mixing in Rubber Collection Points

Problem

A rubber processing company in Sumatra collected rubber from multiple villages at central collection points. The absence of a system to separate EUDR-compliant and non-compliant batches led to accidental mixing, making it impossible to verify origins and putting the company's exports at risk of rejection by EU buyers.

Actions Taken

- The company introduced a simple color-coded tagging system for each incoming batch to mark compliance status.
- Separate storage areas were set up for tagged batches.
- Data on tagged batches was uploaded to a donor-supported digital platform that tracked collection and delivery.

Results/Outcomes

- Incidents of product mixing dropped to near zero.
- Transparency in supply chain handling improved, building buyer confidence.
- The system was replicated in other districts through shared training and platform access.

Lessons Learned

Low-cost operational controls, when paired with digital tracking, can dramatically improve traceability and reduce EUDR non-compliance risks.

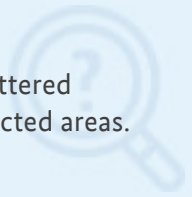


Case 3:

Cooperative-Based Due Diligence Monitoring

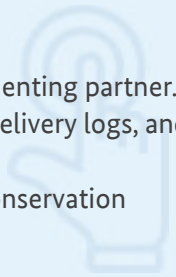
Problem

A coffee buyer struggled to monitor and verify due diligence across hundreds of scattered smallholders, especially on land legality and potential deforestation risks near protected areas. External audits were slow and costly.



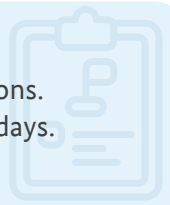
Actions Taken

- The buyer signed a formal agreement with a farmer cooperative to act as an implementing partner.
- The cooperative maintained a live farmer database with updated plot coordinates, delivery logs, and legality documents.
- The buyer used this data to build a simple risk dashboard that flagged farms near conservation zones or with inconsistent data.



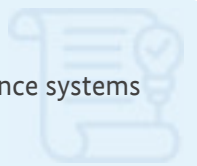
Results/Outcomes

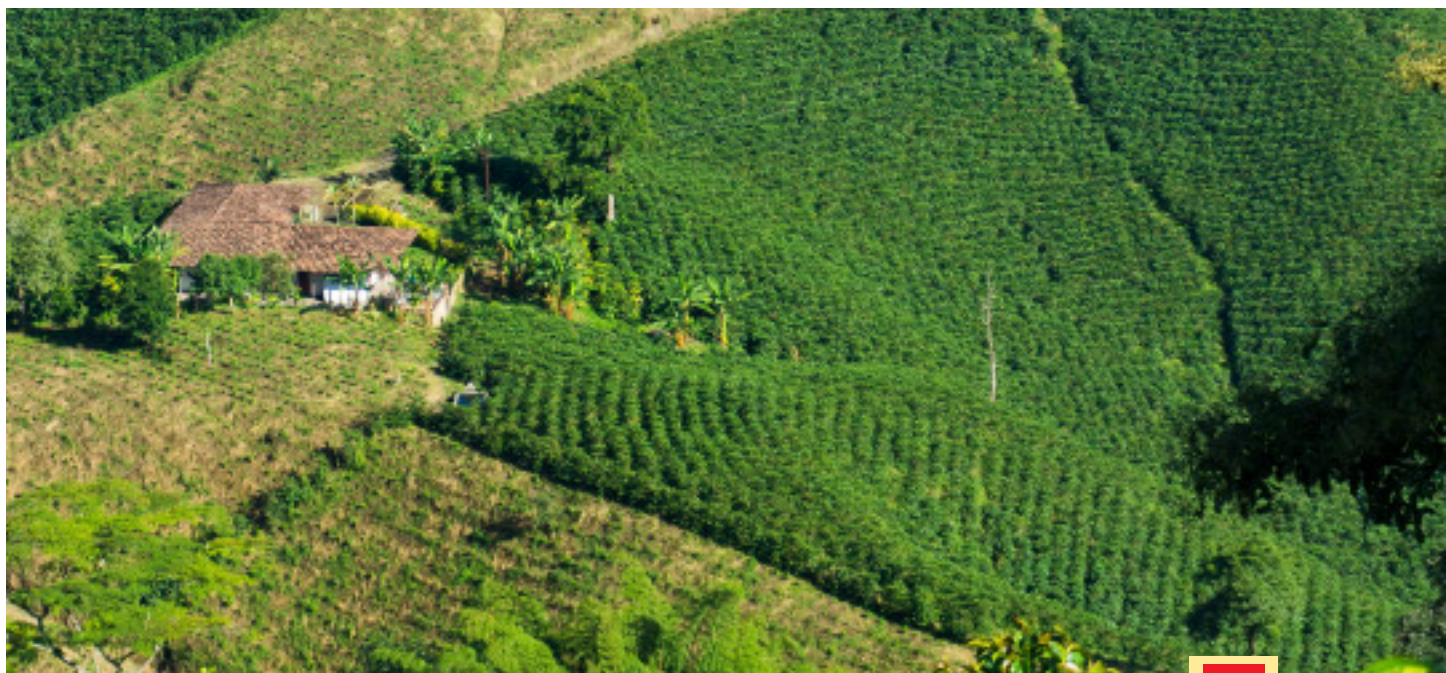
- The buyer reduced external audit costs by 40% through targeted risk-based inspections.
- Response time to potential deforestation risks improved from several weeks to just days.
- Farmers trusted the cooperative more, increasing participation and data accuracy.



Lessons Learned

Delegating due diligence monitoring to trusted local cooperatives strengthens compliance systems while reducing costs and increasing local ownership.





Case 4: Joint Land Verification with Local Government



Problem

Exporters in Sulawesi preparing for EUDR faced widespread uncertainty about land legality. Many smallholders provided unclear or incomplete land documents, which risked being flagged as non-compliant by EU buyers.

Actions Taken

- The exporters formed a working group and coordinated directly with the district land office.
- They jointly verified smallholders' land documents and compared them with government spatial data layers.
- The verified results were stored in a shared traceability system and linked to farm geolocation data.

Results/Outcomes

- Over 90% of supplier plots were verified within three months, well ahead of the planned timeline.
- Legal uncertainty was reduced, and buyers were assured of compliance.
- The approach improved trust and collaboration between local authorities and the private sector.

Lessons Learned

Government collaboration is essential to resolving land legality gaps and accelerates compliance preparation for EUDR.

Glossary

Aggregator	An entity or cooperative that collects commodities from multiple smallholders and supplies them to processors or exporters.
Authorised representative	Any natural or legal person established in the EU who, in accordance with Article 6, has received a written mandate from an operator or from a trader to act on its behalf in relation to specified tasks with regard to the operator's or the trader's obligations under this Regulation.
Batch ID/Batch Code	A unique identification number assigned to a specific volume of product, used to link it back to its origin.
Deforestation	The conversion of forest to agricultural or other non-forest land use, whether human-induced or natural.
Deforestation-Free	A requirement under the EUDR meaning that the commodity was not produced on land deforested after 31 December 2020.
DDS (Due Diligence Statement)	A formal declaration submitted by operators to the EU system (TRACES) confirming that their products are deforestation-free, legal, and compliant.
Due Diligence	A legal obligation under the EUDR for operators to collect data, assess risks, and mitigate non-compliance before placing products on the EU market.
EUDR (European Union Deforestation Regulation)	Regulation (EU) 2023/1115 that prohibits placing deforestation-linked products on the EU market or exporting them from it.
Forest	Land spanning more than 0,5 hectares with trees higher than 5 metres and a canopy cover of more than 10 %, or trees able to reach those thresholds in situ, excluding land that is predominantly under agricultural or urban land use.
Forest Degradation	Structural changes to forest cover, taking the form of the conversion of: 1. (a) primary forests or naturally regenerating forests into plantation forests or into other wooded land; or 2. (b) primary forests into planted forests.
Forest-Related Rules	National legal requirements specifically linked to forest use, forest conversion, and timber harvesting, as referred to under EUDR.
Geolocation	Precise geographical coordinates (latitude and longitude) of farm plots where commodities are produced.

Indigenous Peoples' Rights	Rights of indigenous communities that may be affected by land use, including free, prior, and informed consent (FPIC).
Legality Documentation	Documents proving land ownership, tenure, or use rights, as well as environmental permits (e.g. SPPL) and tax compliance certificates.
Operator	Any natural or legal person who, in the course of a commercial activity, places relevant products on the EU market or exports them.
Polygon	A series of GPS points connected to form the full boundary of a plot of land, required for plots larger than 4 hectares.
Risk Assessment	The process of evaluating the likelihood that a supplier or product might be non-compliant with EUDR requirements.
Risk Mitigation	Actions taken to reduce identified risks, such as additional audits, field verifications, or supplier training.
Supplier	Any entity that provides commodities or raw materials to an operator or trader, including cooperatives and aggregators.
Traceability	The ability to track a product through every stage of production and supply, from farm to final buyer.
Trader	Any person in the supply chain other than the operator who, in the course of a commercial activity, makes relevant products available on the EU market. Traders as defined by the EUDR are always downstream of operators, meaning companies active within the EU.

Annex

Annex 1. Example of Regular Self-Monitoring Form Template

Annex 2. List of Government Offices and NGO Resources

Annex 3. Recommended Sources and References on EUDR for Private Sectors

Annex 1. Example of Regular Self-Monitoring Form Template

Example form that private sectors and their producers can use to record and track farm activities, inputs, harvest, and sales on a regular basis. It helps them stay organized, maintain accurate records, and support traceability and EUDR compliance.

Thematic Area	Indicator	Yes/No	Data Checked	Notes/Follow-up Action
Basic Identification	Each batch has a unique code (e.g., LOT2025-001)	☐ Yes ☐ No		
	Total volume/quantity is available	☐ Yes ☐ No		
	The production or harvest date is clearly stated and traceable	☐ Yes ☐ No		
	The coordinates for the production area are available	☐ Yes ☐ No		
Deforestation-Free	Land was not deforested after Dec 31, 2020	☐ Yes ☐ No		Write date of planting here
Land Tenure and Land Use Rights	Production area not located within protected forest, conservation, or HCV area	☐ Yes ☐ No		
	Supplier holds valid land ownership, lease, or cultivation rights (e.g., SHM, IPPKH, HGU, SKT, etc)	☐ Yes ☐ No		State the land document type here
	Boundaries of the production area are demarcated, and match the coordinates submitted	☐ Yes ☐ No		
	Land is not under conflict or overlapping claims	☐ Yes ☐ No		
	Supporting Evidence Collected (e.g, Satellite map, land use map, photos, etc.)	☐ Yes ☐ No		
Environmental and Forestry Compliance	Required environmental documents available (AMDAL, UKL-UPL, or SPPL)	☐ Yes ☐ No		
	No use of burning for land preparation	☐ Yes ☐ No		
	Proper management of waste and effluents (if applicable)	☐ Yes ☐ No		
Labor and Social Compliance	Workers have legal status and are not minors (no child labor)	☐ Yes ☐ No		
	Compliance with national minimum wage and working hour laws	☐ Yes ☐ No		
	Availability of PPE and occupational safety procedures	☐ Yes ☐ No		
	Communities and customary landowners were consulted before land acquisition or expansion, with consent properly documented	☐ Yes ☐ No		
	Customary or indigenous communities' land rights are identified and respected	☐ Yes ☐ No		
Transport and Trade Documentation	All shipments accompanied by legal documents (delivery note, invoice, manifest)	☐ Yes ☐ No		
	Compliance with tax obligation	☐ Yes ☐ No		
	Products from the farm and supplier can be linked to a buyer or batch	☐ Yes ☐ No		
	Labels or separation practices are in place to avoid mixing	☐ Yes ☐ No		
Certification	Farmer or supplier participates in a sustainability certification scheme	☐ Yes ☐ No		Not obligatory nor green lane under EUDR
Monitoring & Updates	Risk mitigation is conducted (if no compliance issues are detected)	☐ Yes ☐ No		
	Records reviewed in the last 1–2 months	☐ Yes ☐ No		

Annex 2. List of Government Offices and NGO Resources

This list provides contact information for government agencies and NGOs that can support private sectors with technical advice, training, for EUDR compliance.

Agency	Website	Email	Phone
Ministry of Trade of the Republic of Indonesia	Website Kementerian Perdagangan RI	contact.us@kemendag.go.id	+62-21-3858171
Ministry of Economic Affairs of the Republic of Indonesia	Website Kementerian Koordinator Bidang Perekonomian RI	ppid@ekon.go.id	+62-21-3521885
Ministry of Agriculture of the Republic of Indonesia	Website Kementerian Pertanian RI	layanan-ip@pertanian.go.id	+62-851-7965-7867
Directorate General of Plantations	Website Direktorat Jenderal Perkebunan	ditjenbun@pertanian.go.id	+62-21-7816-109
Ministry of Forestry of the Republic of Indonesia	Kementerian Kehutanan	pusdatin@menlhk.go.id	
Forest Watch Indonesia (FWI)	Website Forest Watch Indonesia	fwibogor@fwi.or.id	+62-251-8333-308
Forest Stewardship Council Indonesia (FSC)	Website Forest Stewardship Council	info@id.fsc.org	+62-21-2598 5065
World Resources Institute (WRI) Indonesia	Website WRI Indonesia	indonesiaoffice@wri.org	+62-21- 22775816

Annex 3. Recommended Sources and References on EUDR for Private Sectors

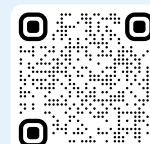
This annex lists practical sources and references, including educational videos in Bahasa Indonesia and translated documents, to help private sectors better understand and prepare for the EUDR (link attached on the text).

1. Educational Videos in Bahasa Indonesia



A. Introduction of EUDR – Kaoem Telapak Channel

Basic explanation of the regulation.



2. Documents and Practical Guides



A. Guidance Document

English version of the official EUDR guidance documents.



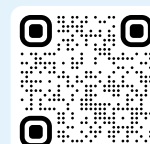
B. Frequently Asked Questions – Version 4

Technical explanation and practical interpretation for supply chain actors, including farmers.



C. Official EUDR Translation – Satya Bumi

Full translated version of the EUDR regulation in Bahasa Indonesia.



D. General Understanding & Implementation Guide – Daemeter

Technical explanation and practical interpretation for supply chain actors, including farmers.



